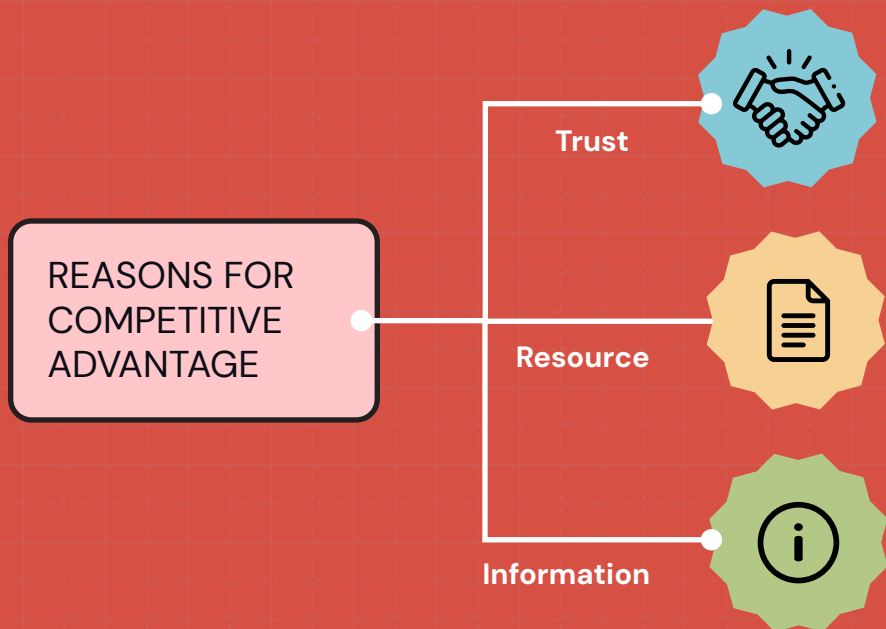


CHAPTER- 4

REASONS FOR COMPETITIVE ADVANTAGES – RESOURCES, INFORMATION AND TRUST



From here on out, we will try to identify some key sources of competitive advantages. In this chapter, we will be focusing on resources, information, and trust as sources of competitive advantage. When a firm has unique resources or resources that cannot be replicated, it can have better price-setting power and have a large market share. Similarly, if a company's knowledge cannot be caught up with, it would be impossible for its competitors to provide services of the same level.

Also, when a company operates in a sector where consumers are exposed to various risks such as financial institutions and insurance companies, trust from customers can be the defining factor for market shares.

Join us as we take a closer look at all these factors!